

MINUTES
OF THE CENTRAL BANK OF ARMENIA BOARD
MEETING
(31.10.2023)

On the refinancing rate

The Central Bank Board Meeting of October 31, 2023 attended by Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan and Board Members Hasmik Ghahramanyan, Levon Sahakyan and Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the *Situation Report* as of October 31, 2023. The meeting addressed the developments on inflation, external environment, and real, fiscal, financial, and monetary sectors of the economy.

Current developments in the external sector were presented. In recent months, it was noted, driven by geopolitical developments, uncertainties over global economic growth and volatility in international commodity markets have increased. In the meantime, strong growth in household incomes and wages in a number of partner countries has been contributing to a faster growth rate of private consumption and domestic demand. Under conditions of implementing a contractionary monetary policy, the overall inflation environment in the main partner countries to Armenia continues to soften gradually; however, the 12-month inflation rates are still above the target levels. In such a situation, the central banks of the main partner countries to Armenia will continue to conduct a contractionary monetary policy in the near future. The estimation is that weak deflationary effects transmitted from the external sector to the Armenian economy will persist as a result of the aforementioned developments.

The Board of the Central Bank discussed the current developments in the Armenian economy; it was recorded that higher-than-expected economic activity has been observed in recent months, mainly owing to strong growth in the services and construction sectors. Aggregate demand also remains high; in the structure of the latter the external demand is weakening due to a certain slowdown in the growth rate of tourism, as well as a decelerated growth of remittances caused by the depreciation of the Russian ruble. It is noteworthy that as external demand slows, the growth of domestic demand accelerates considerably, incurring the influence of strong growth of private consumption on the account of the continued increase in earlier savings and incomes.

As the developments in Armenia's financial market were addressed, the Board stated that the short-term market interest rates came to shaping mostly around the policy rate, following the market's adequate response to the recent Central Bank policy rate changes. In the meanwhile, a significant increase in uncertainty has been observable in the currency market subsequent to the regional and geopolitical developments in recent months. This, in the short term, led to an increase in the country's risk premium and higher yields of government securities along the entire yield curve on the one hand, and to a certain increase in the dram exchange rate volatility, on the other. In consideration of this, the Central Bank of Armenia had a situational intervention in the market to ensure that the financial market functions normally.

The Board of the Central Bank proceeded to discussing the inflation developments, and it was stated that 0.9% of inflation was recorded in September of 2023 against the previous month, due to the increase in prices of food and non-food products and service tariffs by 1.3%, 0.6% and 0.5%, respectively. As a result, the 12-month inflation has increased, amounting to 0.1% at the end of the month. The 12-month core inflation continued to subdue in the course of the month, reaching -0.1%. A low inflation environment, it was further noted, is persisting in the light of weak deflationary effects from the external sector and the contractionary monetary policy implemented by the Central Bank of Armenia, yet certain inflationary risks have arisen amid high uncertainty deriving from recent events in the region and geopolitical developments.

Following the discussion of the *Situation Report* and the macroeconomic developments in external and domestic sectors, the Board proceeded to addressing the macroeconomic scenarios and monetary policy directions, and to making decision on the policy interest rate. Given the aforementioned macroeconomic situation, the Policy Making Team proposed to the Board the scenarios describing the monetary risks that are possibly to derive from upcoming economic development outlooks. Discussing various scenarios of the development of the current economic situation, the Board members agreed that economic activity in Armenia remains high, while the inflation environment continues to be low as a result of weak deflationary spillover effects from the external sector and the contractionary monetary policy implemented by the Central Bank of Armenia. Part of the Board members reckoned that the inflation factors shaped in the domestic economy and labor market have phased out significantly, and the 12-month inflation will still hover at the level considerably lower from the target in the near future, so in terms of managing the deflationary risks in the future, it is more appropriate to continue the direction of easing monetary conditions. At the same time, the Board heard some views that, even though the inflation environment persisted low, there has been a certain increase in the country's risk premium amid

high uncertainty created by reason of ongoing regional and geopolitical developments, the domestic demand continued expanding, and the flow of forcibly displaced people from Artsakh to Armenia, along with the measures taken by the Armenian Government in the framework of this problem, might in the short term have a significant impact on the expansion of the domestic demand and the inflation environment. Consequently, in view of managing possible inflation scenarios, it was proposed to withhold from changing the policy rate. As a result, the **Board of the Central Bank decided in a majority of votes to reduce the refinancing rate by 0.25 percentage point**. The Board also endorsed its commitment in taking appropriate measures to further regulate demand and stabilize inflation expectations. As outlined in the monetary policy scenario, the 12-month inflation will remain below the target level in the near future, then it will gradually increase and stabilize around the 4% target in the medium term.

The Board of the Central Bank also estimated that the risks of inflation deviating from the projection path are mostly balanced. In the event the risks materialize in either direction, the Board will react accordingly to ensure the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank of Armenia and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

October 31, 2023, No. 182 L

ON THE SETTING OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE
CENTRAL BANK OF THE REPUBLIC OF ARMENIA AND THE PRESS RELEASE ON THE
REFINANCING RATE

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 9.5%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 11.0%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 8.0%.
4. Approve the Press Release on the Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank of the Republic of Armenia

c. Yerevan

PRESS RELEASE
31.10.2023

At its October 31, 2023 meeting, the Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.25 percentage point, setting it at 9.5%.

The 12-month CPI inflation rate increased in September 2023, reaching 0.1% at the end of the month. The 12-month core inflation rate continued to decrease and reached -0.1% at the end of September.

Recent months have seen a definite acceleration of domestic demand in the main partner countries of the Republic of Armenia. At the same time, due to geopolitical developments, uncertainties related to global economic growth and volatility in international commodity markets have increased. The 12-month inflation rate remains above target levels in Armenia's partner countries. Under these conditions, the central banks of partner countries will continue to conduct contractionary monetary policy in the near future. As a result, there will continue to be weak deflationary effects on the Armenian economy from the external sector.

In recent months, the Republic of Armenia has experienced higher-than-expected economic activity, which continues to be supported by high growth in the construction and service sectors. In tandem with this, domestic demand continues to expand. Given the weak deflationary effects from the external sector and the implemented contractionary monetary policy, the inflationary environment remains low, which is also reflected in the slowing of wage growth in the labor market.

In the current situation, the **Board of the Central Bank considers it appropriate to reduce the policy rate**. The Board will continue to be consistent in ensuring that adequate actions are taken to regulate demand and stabilize inflation expectations. In the outlined monetary policy scenario, the 12-month inflation rate will remain below the target level in the near term, and then gradually increase and stabilize around the 4% target in the medium term.

The Board of the Central Bank assesses that the risks of deviation of inflation from the projection path are mostly balanced. In the event that any risks materialize in either direction, the Board will respond accordingly and ensure the price stability objective.